

PABRAI INVESTMENT FUNDS

1250 S. Capital of Texas Highway, Suite 1-520
Austin, Texas 78746-6414
USA

Tel. +1.512.999.7110
mp@pabraifunds.com

To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: October 13, 2023
Re: **Q3 2023 Results etc.**

Dear Partners:

For the quarter ended September 30, 2023, a total of \$9.8 million was added to the various funds by new and existing partners. The additions on a per fund basis are:

PIF2: \$3.2 million PIF3: \$1.6 million PIF4: \$5.0 million

PIF2 is the oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and those slots are currently filled. Until we have full redemptions, PIF2 is closed to new investors.

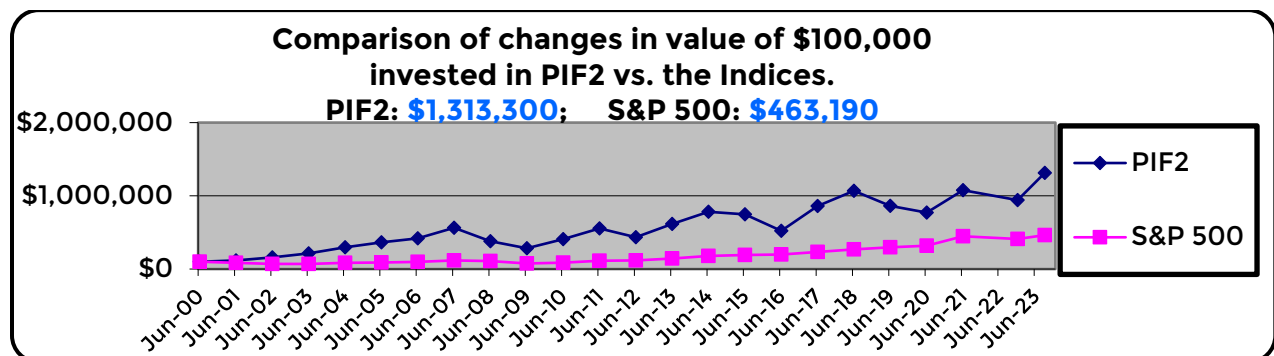
PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is \$6 million. PIF3 is closed to new and existing IRAs but continues to be open to US foundations/endowments and foreign investors who are happy to join despite PIF3's concentration today. PIF4 is for qualified US investors. The minimum investment to join PIF4 as a new partner is \$5 million.

For existing investors in any of the funds, the minimum addition to their current investment is \$25,000. Here are the deposit slips for [PIF2](#), [PIF3](#) and [PIF4](#). If you are interested in or would like more information about the January 1, 2024 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com.

The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-14.0%	17.4%
7/1/01-6/30/02	-18.0%	35.3%
7/1/02-6/30/03	0.3%	34.2%
7/1/03-6/30/04	19.1%	38.7%
7/1/04-6/30/05	6.3%	23.4%
7/1/05-6/30/06	8.6%	15.0%
7/1/06-6/30/07	20.6%	34.0%
7/1/07-6/30/08	-13.1%	-32.4%
7/1/08-6/30/09	-26.2%	-25.2%
7/1/09-6/30/10	14.4%	43.6%
7/1/10-6/30/11	30.7%	35.8%
7/1/11-6/30/12	3.9%	-21.8%
7/1/12-6/30/13	20.6%	42.2%
7/1/13-6/30/14	24.6%	26.7%
7/1/14-6/30/15	7.4%	-4.5%
7/1/15-6/30/16	4.0%	-30.0%
7/1/16-6/30/17	17.9%	64.9%
7/1/17-6/30/18	14.4%	23.9%
7/1/18-6/30/19	10.4%	-19.2%
7/1/19-6/30/20	7.5%	-10.6%
7/1/20-6/30/21	40.8%	39.7%
7/1/21-6/30/22	-10.6%	-28.9%
7/1/22-6/30/23	19.6%	24.6%
1/1/23-9/30/23	13.1%	39.4%
7/1/23-9/30/23	-3.3%	37.5%
Annualized	6.9%	11.8%
Cumulative	363.2%	1213.3%

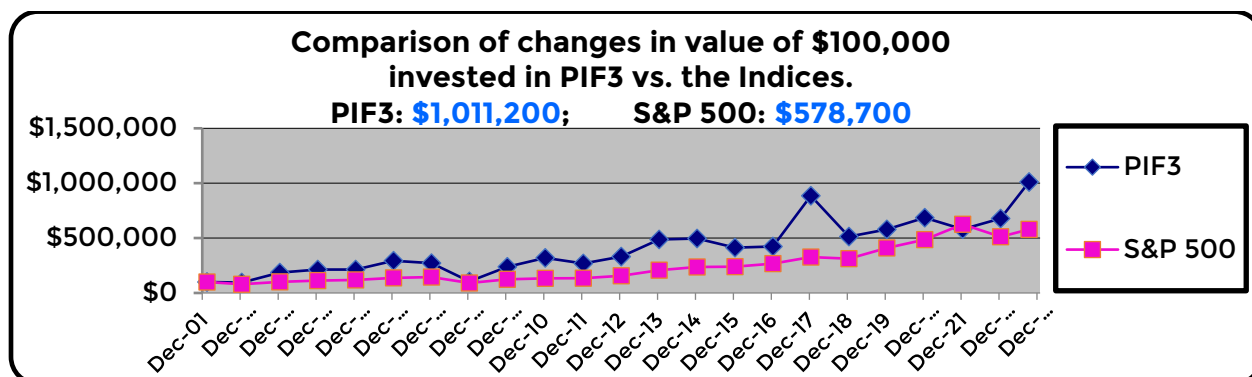


PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,839,900 as of September 30, 2023 (net to investors). This equates to an annualized return of 12.8% since inception – after all fees and expenses. An investment of \$100,000 in the S&P 500 on July 1, 1999 was worth \$491,963 on September 30, 2023 – an annualized gain of 6.8%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-20.4%	-5.2%
1/1/03-12/31/03	28.7%	96.5%
1/1/04-12/31/04	10.9%	14.7%
1/1/05-12/31/05	4.9%	-0.2%
1/1/06-12/31/06	15.8%	37.8%
1/1/07-12/31/07	5.5%	-7.8%
1/1/08-12/31/08	-37.0%	-60.9%
1/1/09-12/31/09	26.5%	125.0%
1/1/10-12/31/10	15.1%	34.4%
1/1/11-12/31/11	2.1%	-15.7%
1/1/12-12/31/12	16.0%	23.4%
1/1/13-12/31/13	32.4%	46.6%
1/1/14-12/31/14	13.7%	1.9%
1/1/15-12/31/15	1.4%	-16.7%
1/1/16-12/31/16	11.9%	2.3%
1/1/17-12/31/17	21.8%	109.2%
1/1/18-12/31/18	-4.4%	-41.9%
1/1/19-12/31/19	31.5%	12.5%
1/1/20-12/31/20	18.4%	18.4%
1/1/21-12/31/21	28.7%	-15.2%
1/1/22-12/31/22	-18.1%	16.8%
1/1/23-9/30/23	13.1%	49.0%
7/1/23-9/30/23	-3.3%	42.0%
Annualized	8.4%	11.3%
Cumulative	478.8%	911.2%

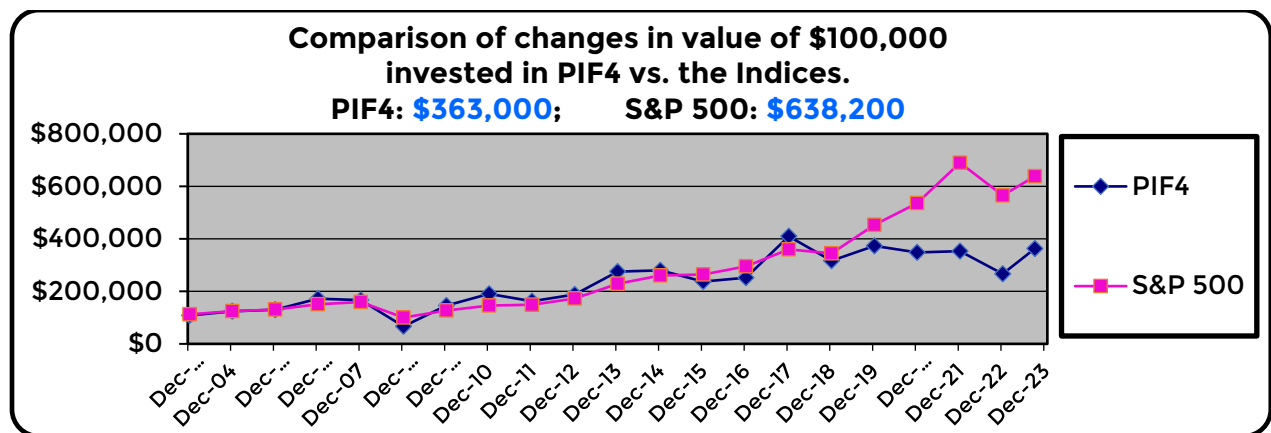


PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$1,011,200 as of September 30, 2023 (net to investors). This equates to an annualized return of 11.3% since inception. An investment of \$100,000 in the S&P 500 on February 1, 2002 was worth \$578,700 on September 30, 2023 - an annualized gain of 8.4%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	12.2%	8.4%
1/1/04-12/31/04	10.9%	14.4%
1/1/05-12/31/05	4.9%	4.9%
1/1/06-12/31/06	15.8%	32.4%
1/1/07-12/31/07	5.5%	-3.4%
1/1/08-12/31/08	-37.0%	-60.0%
1/1/09-12/31/09	26.5%	118.8%
1/1/10-12/31/10	15.1%	30.7%
1/1/11-12/31/11	2.1%	-14.8%
1/1/12-12/31/12	16.0%	16.1%
1/1/13-12/31/13	32.4%	46.0%
1/1/14-12/31/14	13.7%	1.8%
1/1/15-12/31/15	1.4%	-15.4%
1/1/16-12/31/16	11.9%	6.3%
1/1/17-12/31/17	21.8%	62.4%
1/1/18-12/31/18	-4.4%	-22.8%
1/1/19-12/31/19	31.5%	18.0%
1/1/20-12/31/20	18.4%	-6.7%
1/1/21-12/31/21	28.7%	1.5%
1/1/22-12/31/22	-18.1%	-24.4%
1/1/23-9/30/23	13.1%	36.0%
7/1/23-9/30/23	-3.3%	37.3%
Annualized	9.7%	6.7%
Cumulative	538.2%	263.0%



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$363,000 as of September 30, 2023 (net to investors). This equates to an annualized gain of 6.7% since inception. An investment of \$100,000 in the S&P 500 on October 1, 2003 was worth \$638,200 on September 30, 2023 – an annualized gain of 9.7%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

PIF2, PIF3 and PIF4 were up 37.5%, 42% and 37.3%, respectively, for Q3, versus -3.3% for the S&P 500. It was among the strongest quarters for all three funds. Year to date, the three funds are up 39.4%, 49% and 36%, respectively, versus 13.1% for the S&P 500. All three funds are now well ahead of the S&P 500 for the last 18 months. Our laggard years were 2018-21, when we underperformed the S&P 500 significantly. We still have plenty of catch-up to do, but the ship is pointed in the right direction.

While the robust inflows over the last two quarters have helped, good investment ideas continue to outstrip our available assets. Across the three funds, I could easily deploy an additional \$100 million. While continued inflows will improve diversification and results, we will do just fine even if net inflows are zero in the near future.

I love the mix of businesses in the portfolio. As a group they are virtually certain to trounce the S&P 500 in the years ahead. This dog will hunt! No guarantees though!

Pabrai Funds 2023 Annual Meeting Presentation

We had two very successful annual meetings in September. One in-person meeting at St. Edwards University in Austin and a virtual meeting. It was a pleasure to meet old friends and partners and welcome new ones. I'm very grateful to Kimberly and Pauline for all their diligence in organizing the various facets of the meetings and dinners so flawlessly.

The Annual Meeting presentation slides are posted on our website (the password to access the video is "Munger"):

[Pabrai Funds/Dhandho 2023 Annual Meeting Presentation on Vimeo](#)

The transcript will be available in the [Annual Meetings tab of our website](#) by the end of October.

Alignment of Interests

My immediate family has a stake of 175,859 units of PIF2 and 227,121 units of PIF4. The administrative team at Pabrai Funds and I own 42,917 units of PIF4 and 11,773 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 102,364 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately \$44 million.

Pabrai Funds charges no management fee, just performance fees – which are $\frac{1}{4}$ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q3 2023.

I have an approximately \$5.3 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately \$0.6 million investment in Dhandho Holdings.

Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

Online Portal for Investment Statements

Your 9/30 investor statements have been uploaded to your investor portal. If you have trouble accessing your investor portal or need to reset your password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

Estimated K-1's (for US Investors)

For PIF2 and PIF4 investors, we provide estimated K-1's in October and another in December if there are material changes to the first estimate. The first one gives the estimated gains through September 30th, and the second, if applicable, through November 30th. Your 9/30 estimate will be on your online portal by the end of October and the 11/30 estimate will be uploaded by late-December (if applicable), by our Administrator, Liccar. Your final K-1's will be issued in late March.

Redemptions

Please note that if you plan to redeem funds, we must have the request in writing by November 1, 2023. Funds go out approximately 20 business days after year end based on the December 31 NAV. To get the redemption form emailed to you, please nudge Kimberly Engleman at ke@pabraifunds.com.

The redemptions forms are also on our website:

[PIF2 Redemption Form 2023](#)

[PIF3 Redemption Form 2023 - US](#)

[PIF3 Redemption Form 2023 - Offshore](#)

[PIF4 Redemption Form 2023](#)

As a reminder to our older IRA investors, keep in mind that redemptions are paid in January when submitting a redemption for any Required Minimum Distribution (RMD). If you are turning 72 in 2023, you may need to submit your redemption form this year to satisfy the RMD.

We have an annual redemption date on September 30th only for retirement accounts invested in the PIFs in which the beneficial owner is 72 years or older. The purpose of this is to allow folks who are 72 years or older and who are invested in the PIFs with retirement assets to meet their annual RMDs. These investors can also still redeem whatever they wish on 12/31 with 60 days' advance notice. Effective January 1, 2023, the age to start taking RMDs from your retirement accounts increased from 72 to 73. The minimum age for our RMD redemption window will increase to 73 beginning in 2024.

RMD redemptions at September 30 on a per fund basis are:

PIF3: \$1,006,071

PIF4: \$173,310

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. I try to do 1-2 Zoom sessions with students every month. This is about the max. of what I am interested in doing. Here are some recent additions to the blog:

Interview with the Meb Faber Show on July 28, 2023

I very much enjoyed my interview with Meb for the Meb Faber Show. I talked about my introduction to Warren Buffett and playing Bridge, the importance of compounding and why it should be introduced in school and holding on to your highest conviction bet.

[Interview with the Meb Faber Show on July 28, 2023](#)

Q&A with members of the Finance and Investment Cell at SRCC, Delhi on June 14, 2023

I very much enjoyed my Q&A session with members of the Finance and Investment Cell at Shri Ram College of Commerce, Delhi. I talked about developing investing skills and focusing on micro factors more than macro in investing.

[Q&A with members of the Finance and Investment Cell at SRCC, Delhi on June 14, 2023](#)

Suggestion Box

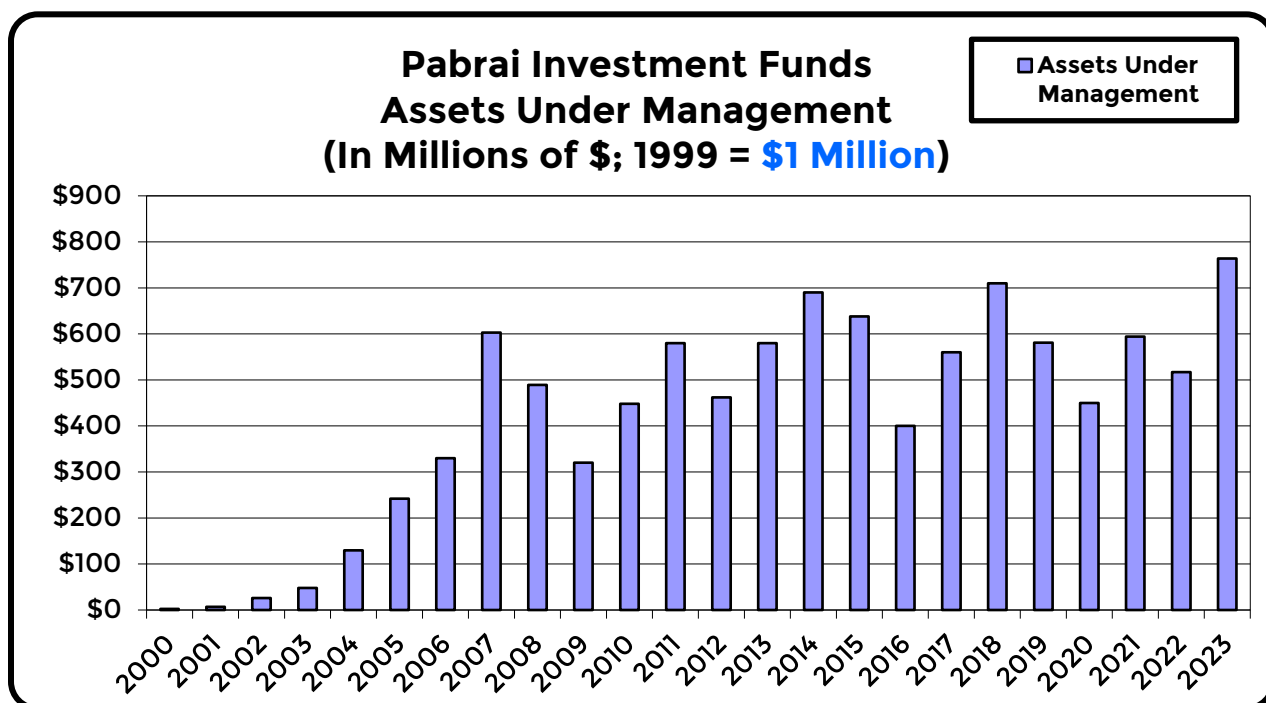
We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com.

2024 Annual Meeting

As we did this year, we intend to have two annual meetings sequentially in September 2024: an in-person meeting in Austin, Texas and a virtual meeting. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds. We will provide dates for both events in future letters.

Assets Under Management

There is \$764 million in assets across all three funds as of September 30, 2023.



Thanks for your continued interest, referrals and support. Feel free to call me at +1512.999.7110 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	\$10.00
330,014	06/30/2001	\$11.74
1,027,795	06/30/2002	\$15.89
1,950,982	06/30/2003	\$21.32
2,445,212	06/30/2004	\$29.58
2,696,687	06/30/2005	\$36.52
2,646,687	06/30/2006	\$41.99
3,013,111	06/30/2007	\$56.25
2,934,990	06/30/2008	\$38.01
2,468,091	06/30/2009	\$28.45
2,409,165	06/30/2010	\$40.84
2,257,421	06/30/2011	\$55.46
2,180,892	06/30/2012	\$43.36
2,057,676	06/30/2013	\$61.68
1,906,927	06/30/2014	\$78.13
1,795,006	06/30/2015	\$74.64
1,684,602	06/30/2016	\$52.26
1,774,805	06/30/2017	\$86.17
1,959,084	06/30/2018	\$106.77
1,896,122	06/30/2019	\$86.30
1,830,037	06/30/2020	\$77.13
1,841,919	06/30/2021	\$107.77
1,859,576	06/30/2022	\$76.64
1,885,954	09/30/2022	\$75.82
1,851,599	12/31/2022	\$94.21
1,860,621	03/31/2023	\$89.00
1,889,944	06/30/2023	\$95.50
1,914,479	09/30/2023	\$131.33

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	\$10.00
265,919	12/31/2002	\$9.48
485,041	12/31/2003	\$18.63
1,774,753	12/31/2004	\$21.37
2,478,793	12/31/2005	\$21.32
2,930,608	12/31/2006	\$29.37
6,438,615	12/31/2007	\$27.09
5,415,189	12/31/2008	\$10.57
5,038,658	12/31/2009	\$23.79
4,885,267	12/31/2010	\$31.95
4,701,613	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21
4,384,591	12/31/2013	\$48.70
4,290,222	12/31/2014	\$49.61
3,805,336	12/31/2015	\$41.33
2,433,652	12/31/2016	\$42.27
2,409,693	12/31/2017	\$88.45
2,473,097	12/31/2018	\$51.42
2,376,897	12/31/2019	\$57.85
2,326,717	12/31/2020	\$68.52
2,442,868	12/31/2021	\$58.11
2,698,641	09/30/2022	\$47.22
2,795,778	12/31/2022	\$67.86
2,812,505	03/31/2023	\$65.12
2,873,656	06/30/2023	\$71.22
2,879,134	09/30/2023	\$101.12

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,314,803	12/31/2005	\$13.01
11,528,331	12/31/2006	\$17.23
16,899,746	12/31/2007	\$16.64
15,737,042	12/31/2008	\$6.66
15,725,066	12/31/2009	\$14.57
15,251,129	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85
11,560,683	12/31/2013	\$27.53
10,642,015	12/31/2014	\$28.03
9,531,764	12/31/2015	\$23.71
8,792,042	12/31/2016	\$25.21
8,040,030	12/31/2017	\$40.96
7,809,565	12/31/2018	\$31.64
6,628,989	12/31/2019	\$37.33
6,034,088	12/31/2020	\$34.82
5,783,836	12/31/2021	\$35.33
6,326,745	09/30/2022	\$24.48
5,749,279	12/31/2022	\$26.69
5,825,152	03/31/2023	\$25.20
5,962,980	06/30/2023	\$26.44
6,096,644	09/30/2023	\$36.30

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.